Consumer Bottled Water Preferences

May 5, 2004



Agenda

- **Review Bottled Water Consumer Research**
- **Determine Bottled Water Strategy Based on**
  - Research Results
  - Technical Analysis
  - Cost



Executive Summary

- **Loyalty among bottled water consumers is low**
  - Even consumers who claim to be very loyal to a specific format (I.e., Purified Drinking Water or Spring water) still buy other formats.

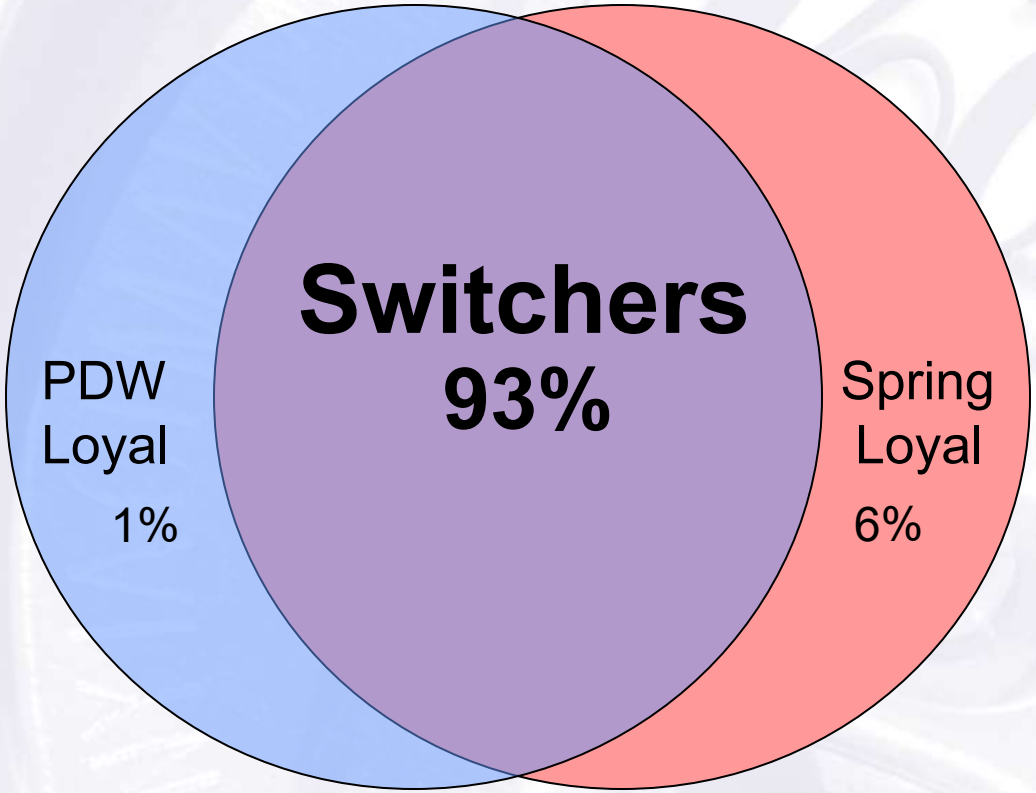
- **PDW offers better product quality and consistency on a national basis than Spring water**

- **PDW will save $x vs. Spring water**



Bottled Water Consumers Are Switchers

- 93% of respondents switch between PDW and spring water.



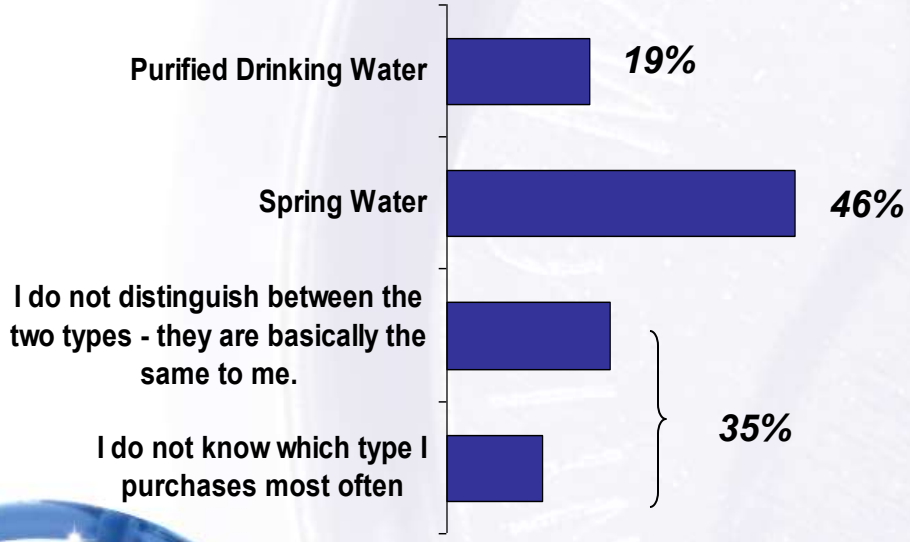
Total Respondents (N) = 353

Source: Insight Express Survey

Spring Water Consumers Are Switchers

- 46% of respondents claim to purchase Spring Water most often, of these, 88% are switchers.

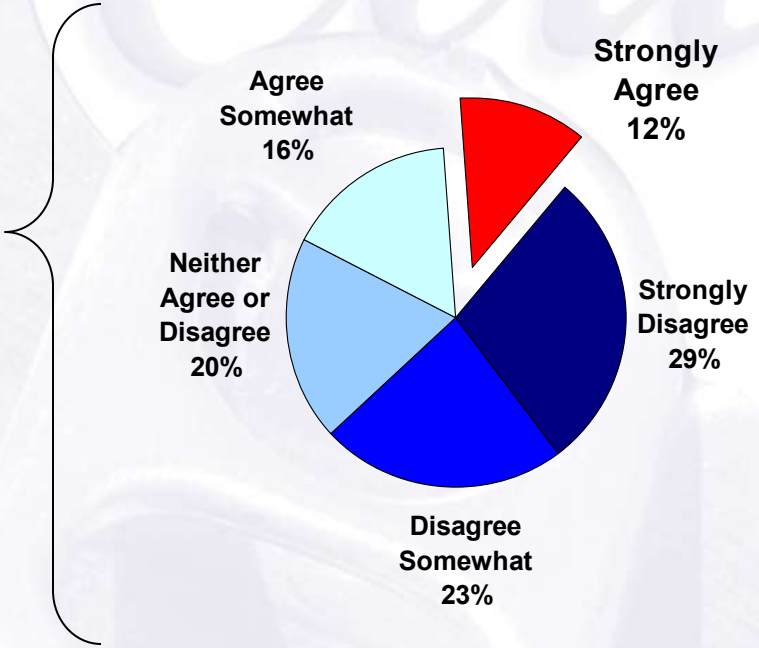
Q: Of the two types of bottled water listed (purified drinking water or spring), which type did you purchase most often during your past 10 purchases?



Total Respondents (N) = 353

Q: How strongly do you feel about the following statement:

"I buy only SPRING WATER. If spring water is not available, I will buy no bottled water at all."



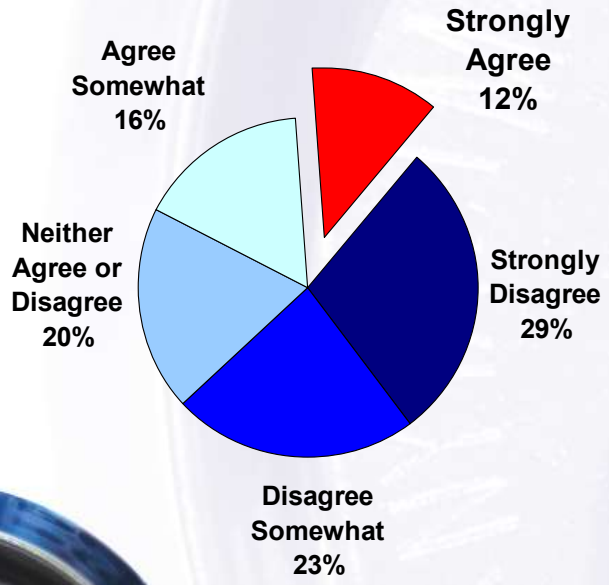
Source: Insight Express Survey

"Loyal" Spring Water Consumers *Still Switch*

- **Among respondents who buy Spring Water most often, 12% claim they would purchase ONLY spring water—but they also buy PDW brands.**

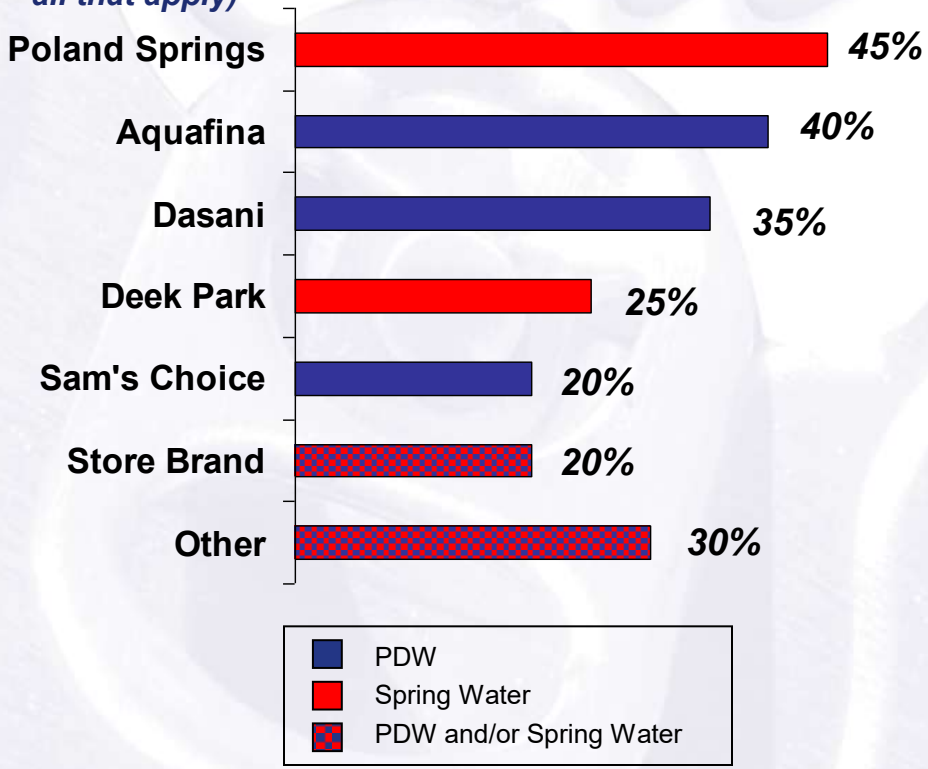
Q: How strongly do you feel about the following statement:

"I buy only SPRING WATER. If Spring water is not available, I will buy no bottled water at all."



(Respondents who strongly agree with the claim that they ONLY buy spring water):

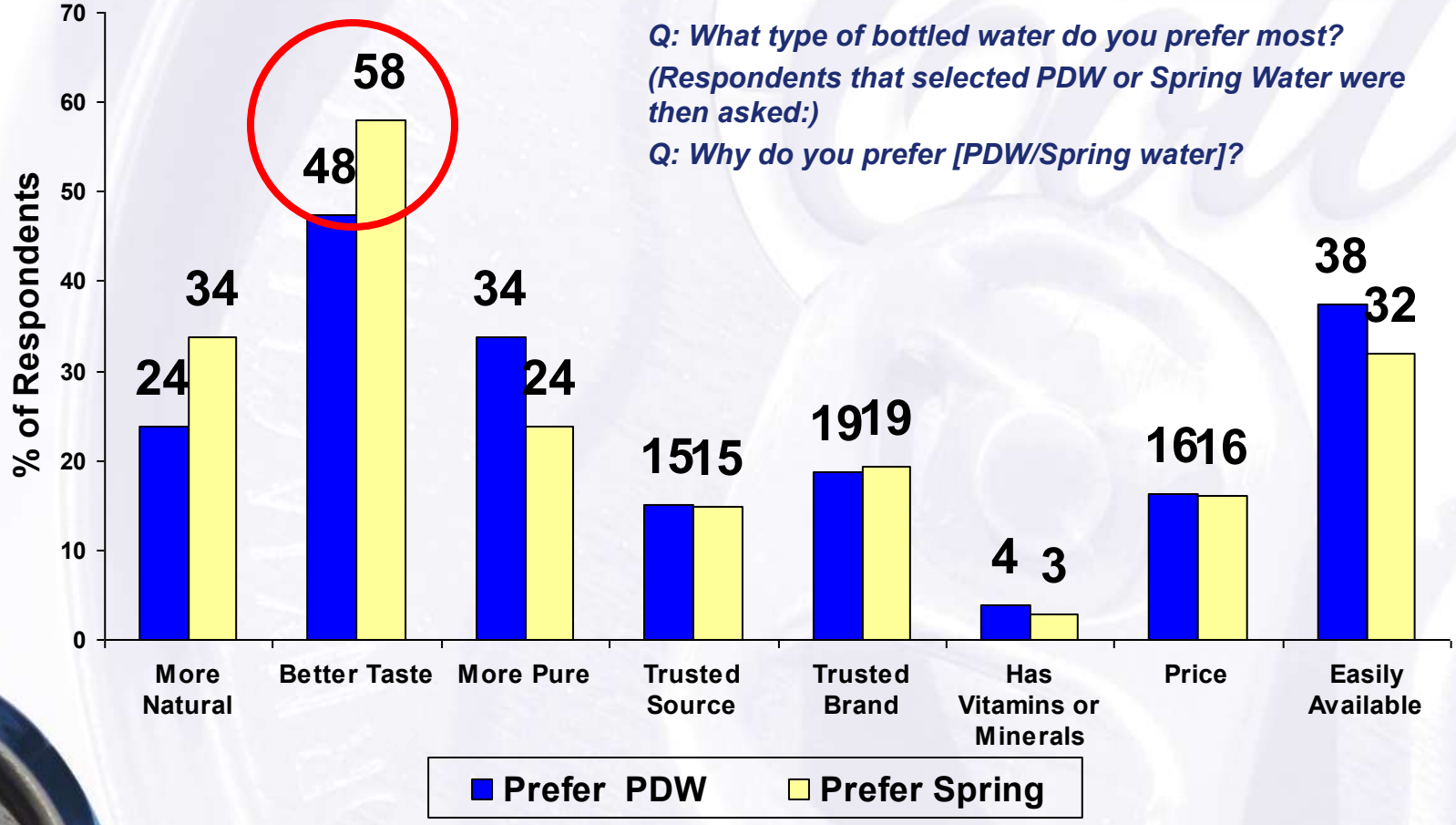
Q: Which of the following brands of bottled water have you used/purchased in the last month? (Check all that apply)



Source: Insight Express Survey

Consumers Say Taste Drives Purchase

- Taste is the number one reason why consumers choose their preferred format.



Source: Insight Express Survey

PDW Offers Taste Advantages

- PDW provides a consistent, controllable taste that multiple Spring water sources cannot provide.

PDW with Minerals	Spring Water
Consistent taste and mouth feel	Inconsistent taste - taste varies with spring source
Taste is controllable by varying mineral content	Taste is not controllable
Starting material – potable drinking water	Starting material – generally is not potable water
Pharmaceutical Grade	Non Pharmaceutical Grade
Produced using Reverse Osmosis Filtration – removes viruses	Not filtered through Reverse Osmosis
Consistent Total Dissolved Solids (TDS) / Consistent mineral content	Inconsistent TDS / Mineral content changes as the spring source changes
No mineral precipitation at any temperature	Minerals may precipitate



PDW Lowers Cost

- Add freight analysis here.



Next Steps

- **Execute a national water program utilizing Cott PDW.**



Appendix

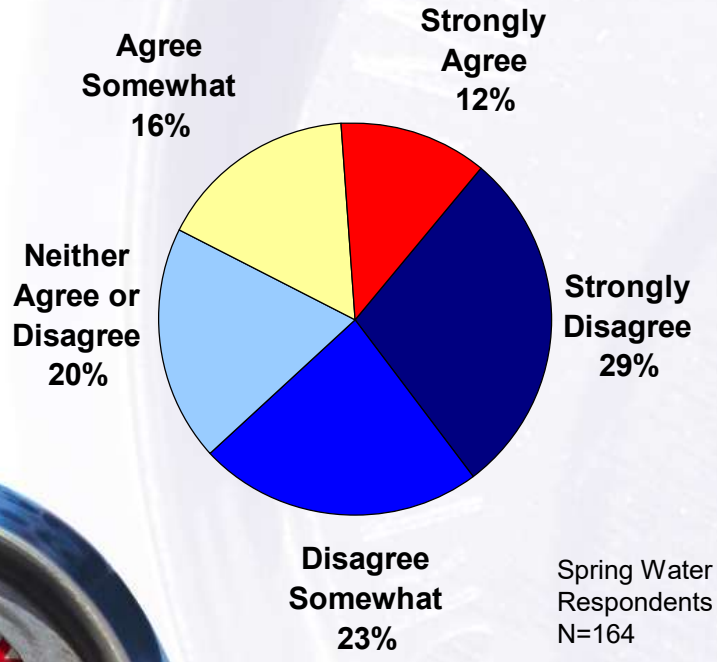


Loyalty is Small for Spring or PDW Water.

- **Only 12% of respondents who claim to purchase Spring Water the most are very loyal to Spring water**

How strongly do you feel about the following statement:

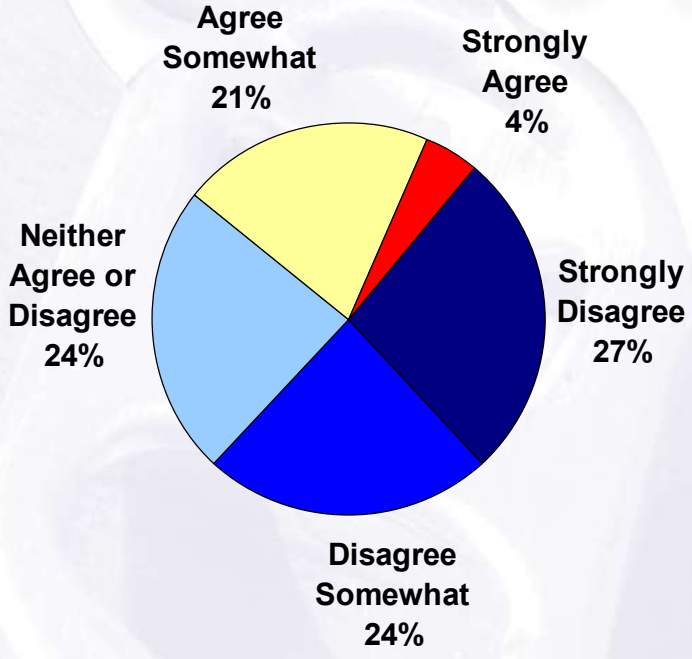
"I buy only SPRING WATER. If Spring water is not available, I will buy no bottled water at all."



Spring Water Respondents N=164

How strongly do you feel about the following statement:

"I buy only PURIFIED DRINKING WATER. If purified drinking water is not available, I will buy no bottled water at all."



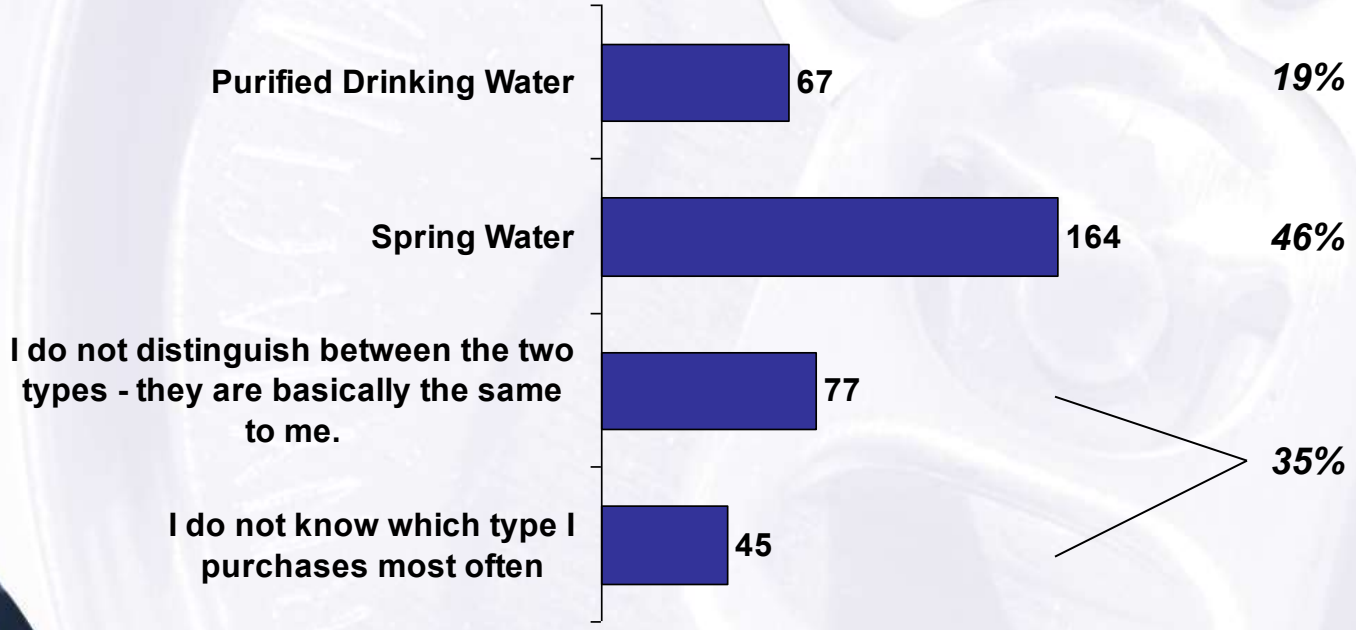
PDW Respondents N=67

Source: Insight Express Survey

More Consumers Claim to Purchase Spring Water

- 46% of respondents claim to purchase Spring Water most often
- 35% don't know or don't care
- 19% claim to purchase PDW most often

Of the two types of bottled water listed (purified drinking water or spring), which type did you purchase most often during your past 10 purchases?



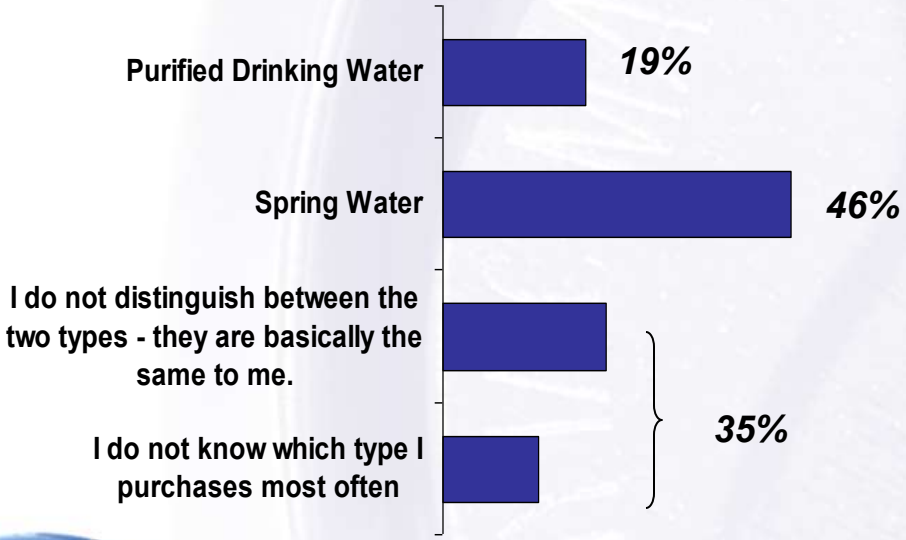
Total Respondents (N) = 353

Source: Insight Express Survey

PDW Consumers Are Switchers

- **19% of respondents claim to purchase PDW most often, of these, 96% are switchers.**

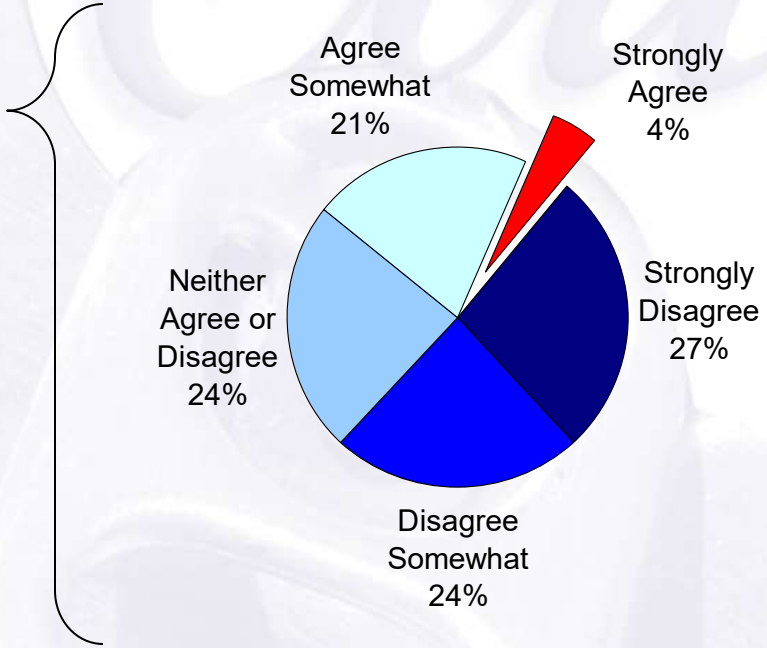
Of the two types of bottled water listed (purified drinking water or spring), which type did you purchase most often during your past 10 purchases?



Total Respondents (N) = 353

How strongly do you feel about the following statement:

"I buy only PURIFIED DRINKING WATER. If purified drinking water is not available, I will buy no bottled water at all."



Source: Insight Express Survey

PDW vs. Spring Demographics

	Prefer PDW (N=80)	Prefer Spring (N=181)
Age	Under 18 (6%) **18-34 (44%)** 34-55 (34%) 55+ (16%)	Under 18 (5%) 18-34 (35%) **34-55 (41%)** 55+ (19%)
Education	High School (41%) 2 year college (29%) 4 year college (19%) Master's Degree (9%) Other (2%)	High School (33%) 2 year college (27%) 4 year college (19%) Master's Degree (10%) Other (12%)
Employment	Homemaker (5%) Student (20%) Full Time (50%) Retired (14%) Part Time (8%) Not Employed (4%)	Homemaker (9%) Student (14%) Full Time (47%) Retired (9%) Part Time (12%) Not Employed (9%)
Marital Status	**Single (56%)**	**Married (53%)**
Children	**None (58%)** 1 (10%) 2 (14%) 3+ (19%)	**None (45%)** 1 (17%) 2 (16%) 3+ (22%)
Gender	Female (46%)	**Female (60%)**
HH Income	Under $35k (34%) **$35k - $75k (44%)** $75k+ (23%)	**Under $35k (42%)** $35k - $75k (38%) $75k+ (20%)



Top National Brands Sell PDW

- Three of the top four brands are PDW and are growing faster than the category.

Aquafina	$300 million (+16.3)
Dasani	$216 million (+11.3)
Poland Spring	$190 million (+1.3)
Sam's Choice	$189 million (+10.7)
Arrowhead	$163 million (-2.1)
Deer Park	$116 million (+8.7)
Crystal Geyser	$95 million (+20.0)

Total Non-carbonated water category is $2.6 billion (+7.9)



Source: ACNielsen; US Food Channel 52 w/e 3/20/04